6. When a partner withdraws regularly a fixed sum of money at the middle of every month, period for which interest is to be calculated on the drawings on an average is

(a) 5.5 moths (b) 6 months

(c) 12 months (d) 6.5 months

7. Which of the following is the incorrect pair?

(a) Interest on drawings – Debited to capital account

(b) Interest on capital – Credited to capital account

(c) Interest on loan – Debited to capital account

(d) Share of profit – Credited to capital account

8. In the absence of an agreement, partners are entitled to

(a) Salary (b) Commission

(c) Interest on loan (d) Interest on capital

9. Pick the odd one out

(a) Partners share profits and losses equally

(b) Interest on partners' capital is allowed at 7% per annum

(c) No salary or remuneration is allowed to partners

(d) Interest on loan from partners is allowed at 6% per annum.

10. Profit after interest on drawings, interest on capital and remuneration is ₹ 10,500. Geetha, a partner, is entitled to receive commission @ 5% on profits after charging such commission. Find out commission.

(a) ₹ 50 (b) ₹ 150

(c) ₹ 550 (d) ₹ 500

Answers

1 (a)	**2(a)**	**3(d)**	**4(c)**	**5 (a)**	**6(b)**	**7(c)**	**8(c)**	**9(b)**	**10(d)**

II Very short answer questions

1. Define partnership.
2. What is a partnership deed?
3. What is meant by fixed capital method?
4. What is the journal entry to be passed for providing interest on capital to a partner?
5. Why is Profit and loss appropriation account prepared?

III Short answer questions

1. State the features of partnership.
2. State any six contents of a partnership deed.
3. State the differences between fixed capital method and fluctuating capital method.

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